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Gentera SAB de CV (GENTERA.MX)

Q3 2023 Earnings Call

CORPORATE PARTICIPANTS

Enrique Barrera
Investor Relations Officer

MANAGEMENT DISCUSSION SECTION

Operator: Good morning, and welcome to the Third Quarter 2023 Gentera's Conference Call.

Now, I would like to turn the call over to Mr. Enrique Barrera, Investor Relations Officer of the company. Sir, you may begin.

Enrique Barrera
Investor Relations Officer

Thank you. Good morning, and thank you all for joining us and for your continued interest in Gentera. I'm Enrique Barrera, the company's Investor Relations Officer. I'm very pleased to introduce our management team. With us today are Mr. Enrique Majós, Gentera's Chief Executive Officer; Patricio Diez de Bonilla, Banco Compartamos, Chief Executive Officer, and Mario Langarica, Gentera's Chief Financial Officer.

Enrique Majós and Mario Langarica will present Gentera's result for the third quarter of 2023 period as well to report of what is the trajectory. And Patricio Diez de Bonilla, along with Enrique and Mario will actually participate in the Q&A session of this conference call.

Please note that during this presentation, Gentera may make forward-looking statements. We do not account for future economic circumstances, industry conditions, company performance or financial results. Additional information or forward-looking statements can be found in the disclaimer located in our earnings release. If you did need not receive a copy of the release or you have any questions, please do not hesitate to contact our Investor Relations Department in Mexico City. If you are a member of the media, we ask you to contact positively.

I would like to turn the call over to Mr. Enrique Majós of his presentation. Enrique, please go ahead.

Enrique Majós Ramírez

Thank you. Good morning or afternoon to everyone. As we do it every quarter, today, I'm happy for the opportunity to share with you our latest results. As you know Mario, Enrique, Patricia and myself have had the chance to speak with you or some of you at the different investors events during the last quarter. And we truly appreciate the benefits of the feedback we constantly receive from you.

But before starting talking about Gentera's results, let me say that we feel sorry for the people in Acapulco. Since yesterday, Hurricane Otis strongly impacted them. From the moment we learned about the approach of Otis, we have activated our contingency protocols and we have our teams addressing the situation.

In Gentera, taking care of our staff and clients has always been our priority and today, we are fully committed to support our people in Acapulco. As you know, we have faced this kind of event several times in the past, and we have the experience to manage them. We are still assessing the impact of this event. However, we can tell you that Acapulco represents less than 1.5% of the portfolio of Banco Compartamos and around 1% of Gentera's portfolio.

We believe that that impact in our business results will not be significant. However, taking care of our people will always be our main concern and top priority, and we are fully focused on supporting them.

Now, talking about our Gentera's business results. I'm glad to announce another great quarter. Our results are the direct and positive consequence of our business strategy, and the remarkable execution of our teams.

But first, to give you some context on our results, let me begin by describing the journey we have been going through along the year. As we all remember, the COVID pandemic impacted every person and business around the globe.

Also, at that time, Gentera priority was to support customers and staff members. In 2020 and 2021, our business results were strongly affected as it happened in most of the industry. 2021 and 2022, where years of recovery we sorted out the crisis and finally, we ended stronger, not only financially, our relationship with customers, our processes and our operations also became stronger. However, many of our competitors struggled, and as of today, some of them are still having funding problems as well as collection challenges.

This has been an opportunity for us to grow and increase our market share. Actually, after the pandemic and based on [indiscernible] 00:05:27 portfolio information, in Mexico, we increased our market share from 47% to 63% with our group lending products and for the individual loans, we also increased our share from 11% to 20%.

And in Peru, we have built a stronger position in the market by becoming the second largest financial institution in number of clients. And today, we have a presence in 21 from 25 regions in the country.

Looking at this opportunity, it was that we decided to be more aggressive in our growth strategy since the beginning of the presence here. As we explained in our last call, during the first half of the year, we increased our sales force in Banco Compartamos to be able to aggressively capture more clients and increase our portfolio.

As a consequence, our operating expenses increased in the previous quarters. However, last quarter we explained that this was going to pay off. Today, growth results are here. This year, we are growing in number of clients and portfolio more than ever. So we are delivering as promised. Now, having described our strategy for the present year, let me now highlight some of our most recent and relevant results.

Fourth quarter growth in the third quarter of the year was remarkable. Just in the last three months, Gentera total portfolio grew close to 5%. Gentera's total loan portfolio reached a new historic figure, closing at BRL 60.5 billion, which represents more than 17% growth in the last 12 months. And by the way, this portfolio growth is above the 14% to 16% that we had in the previous guidance.

In terms of number of clients, we have reached an annual growth of 412,000 clients. From them, 222,000 come from Banco Compartamos. This is a historic growth never seen before in GENTERA. These results are even more solid if we consider that our NPLs are in 3.29%. We have always said that, for us, a healthy and solid operation should show NPLs between 3.5% and 4%. So, clearly, we are in very good shape.

This quarter's results are outstanding. They validate the rationale behind our modernization and business strategy. For GENTERA, this evolution is more than just technological. It is an evolution that improves relationships with our customers and our business processes. This is also a cultural evolution. It reflects our commitment to generate total value, fostering an environment where economic, social, and human value flourish in a sustainable way.

Let me finish by saying that, due to the successful results on our client and portfolio growth strategy, we are increasing our portfolio guidance for the present year. At the same time, EPS guidance will be reduced due to the investments we've made to capture an even higher future growth.

Mario Langarica will provide the specific information about this and other relevant financial highlights, so let me now pass the call to him. And after Mario's remarks, Patricio, Mario, and myself will be very glad to answer any questions you may have. Hi, Mario. Thank you for being here.

Mario Ignacio Langarica Ávila

Thank you, Enrique very much. And good day to everyone. As always, we appreciate your interest in GENTERA. As Enrique [ph] acknowledged 00:10:05 his remarks, we're very excited with GENTERA's dynamics in the past quarters and with the solid results that are materializing for year-end, and with great opportunity that lie ahead for 2024 and going forward. I will focus my remarks on the following concepts; one, portfolio growth and income generation. As Enrique mentioned, GENTERA finalized the quarter again with a historic loan over MXN 60.5 billion, growing 17.8% compared to 3Q 2022. And the trends we are expecting, look very promising.

This growth was significantly driven by an important 12.4% rolling price. As Enrique mentioned above, we expect to end the year 2023 with a growth over 500,000 clients, a historic record above 40% of our best year ever.

As mentioned in our last conference call, the actions that we took early this year to take advantage of the strong market opportunities are generating these solid results and relevant [ph] revenue close 00:11:16, and we'll continue to do so during 2024. Achieving later these net revenues as of Q2 2023 have grown 10.8% versus last year, and growing and increasingly growing every quarter.

Interest income for the 2023 nine-month period stood at MXN 23.6 billion, rolling 14.7% compared to the same period in 2022. And while we have had an important increase in financing and originated expenses, net interest income grew MXN 1.4 million or 7.7% for the same period. As a consequence, NIM amounted to 39.6% for the 3Q 2023 period, compared to 41.3% in 3Q 2022. Our expectation for the following quarters is to be moving around 40%.

Accumulated provision for loan losses as of 3Q 2024, amounted to MXN 4.4 million, 19.2% higher than the same period in 2022. This higher level of provisions is mostly explained by the strong portfolio growth in all subsidiary, and higher above normal level of NPL. Accumulated net interest income after provisions grew 4.8%, compared to the same period in 2022, with a 30.8% mean after provisions in 2023, compared to 32.3% in 2Q 2022. Our expectation is to have NIM after provisions moving around 30% to 31% going forward.

Regarding net fees for the nine-month period, we have generated a 59.7% growth compared to the same period in 2022, amounting to MXN 2.05 million. Our insurance business has continuously evolved to represent a [indiscernible] 00:13:18 contributor to our revenues, together with other fee generated by Compartamos Financiera, ConCrédito, Yastás, and the banks. And we expect that this item will grow about 40% for the full year.

We want to highlight that as of 3Q 2023, around 76% of credit [indiscernible] 00:13:39 and around 41% of our credit collections in the bank are now being executed through Yastás and Banco Compartamos through Yastás and Banco Compartamos branches and more frequently now through our mobile banking app. The use of these channels has been [indiscernible] 00:13:55 Gentera in [indiscernible] 00:13:57 of the use of third party channels and thus with using the fee expenses line in relative terms.

Two, asset quality. As of September 2023, cumulative cost of risk amounted to 10.3%, and NPL stood at 3.29%, which are both better than our initial guidance and expectations. Allowances amounted to MXN 4.57 billion on a consolidated level, and a coverage ratio in Q3 2023 amounted to 230%, which is a solid and adequate level. For future quarters, we expect to maintain sound asset quality both in coastal rigs and NPLs, maintaining a robust coverage ratios above 200%.

Three, operational expenses. Accumulated operational expenses as of 3Q 2023 amounted to MXN 12.5 billion, representing a 13% growth compared to the same period last year. As we explained before, an important component of this load relates to the actions that we have implemented to capture the strong market opportunity, including hiring more than 3,800 employees, most of them in our sales force. Other important expenses are the relevant strategic investments that we're implementing to make our operation more productive, efficient and modern.

These actions are already generating growing clients, portfolio and revenues who are in part – for an important part of the income will be captured in 2024. We expect to end with a year to year around a 15% increase in expenses, but very committed to maintain positive jobs into 2023 and 2024.

Four, net income and profitability, net income in 3Q 2023 amounted to MXN 1.35 billion, representing our second best quarterly historic result. Clearly, cumulative net income for the nine-month period stood at MXN 3.82 billion, also the second largest cumulative result ever for the same period.

Gentera's controlling participation amounted to MXN 3.6 billion, representing an EPS of around MXN 2.27. And as mentioned in our press release, we are realizing the year-end guidance to a range between MXN 3.04 and MXN 3.14 EPS.

Again, this reduction is not explained by the investments and credit placement expenses that we're encouraged to capture the market opportunity that is generating very strong growth in clients portfolio and revenue generation and will continue to do so, generating future EPS growth in the following quarters in 2023 and 2024.

Gentera's controlling ROE for the nine-month period reached MXN 910.8 million which it's in track to meet the expected 20% objective for the year, highlighting that Banco Compartamos, our largest subsidiary continued with very strong levels of profitability representing the nine-month period and ROE of 25.7% and an ROA of 8.1%.

Compartamos Financiera in Peru presented an ROE of 17.5%, above the one which last year. And ConCrédito's ROE improved at 21.8% from 16.7% last year. Having said that and given the strong loan portfolio managed that we're witnessing now, we expect to finalize the year end at the high end of the loan portfolio guidance for the year and to have double-digit growth in the year 2024.

Five, increase the funding and capitalization. We continue maintaining healthy liquidity and very strong access to funding and robust capitalization levels. Our liquidity position amounts to MXN 13.1 billion, and by the end of the third quarter, GENTERA's capital-to-asset ratio amounted 32%.

Regarding funding, we continue with strong access to different incremental funding sources for the holding company and our subsidiaries, and we have kept a healthy balance in the composition of our liabilities in short and long tenors and fixed and floating rates.

Our access to funding sources are robust and sufficient to fund the growth and at the same time take advantage of the opportunities that this year and the next ones will bring to GENTERA. A proof of this very strong access to funding are the recent and very successful debt issuances at Banco Compartamos and Fin Útil, which is part of ConCrédito, this year and executed very successfully in the local debt capital markets in Mexico.

We also want to communicate that the second and final dividend payment of the year 2022 amounting to MXN 910.8 million will be paid on November 17, as approved on our last annual shareholders meeting.

And now, for my final remarks, as you can see, we are concluding the third quarter with very solid drivers and results, and we have the clear objective to deliver another strong year in which GENTERA will reach the largest number of clients ever served, the largest growth in number of clients ever, the biggest loan portfolio, and the best net income generator in our 32 years of history, and delivering an ROE around 20%.

For 2024, we expect to continue delivering double-digit growth in Gentera's own portfolio, double-digit growth in net revenues with a healthy cost of risk and operational expenses under control to generate positive jobs that should allow us to maintain our leads about 20%. As such, and just as closing, our new guidance for year-end is a growth in our portfolio of 16% to 18% and our EPS from 3.04 to 3.14.

in Gentera, we're strongly motivated with the solid evolution of the company and at the same time, very susceptible to continue working hard and servicing millions of clients in Mexico and Peru in their financial needs while generating share value for all.

That is all for my remarks. Thank you for your attention and we can now move forward to the Q&A.

QUESTION AND ANSWER SECTION

Operator: Thank you. [Operator Instructions] Our first question comes from Ernesto Gabilondo with Bank of America. Please proceed.

Ernesto Gabilondo

Q

Thank you. Hi. Good morning, Enrique, Patricio and Mario. Thanks for the opportunity to ask questions. My first question will be on operating expenses. We have seen the OpEx, while it's double-digit and I think about what you mentioned before, and the expectations. But you also [indiscernible] 00:21:32

A

Ernesto. Sorry to interrupt you. The line is a little blurred. I'm sure you're trying to speak very clearly, but we have a little disruption in the sound. Can you state again your question, please?

Q

Yes, of course. Can you hear me better?

A

Yeah.

Q

Okay. My question is operating expenses.

A

Okay.

Q

So, this OpEx growth is already above your guidance for this year. That is also [indiscernible] 00:22:10 growth and the guidance for the year. So, [indiscernible] 00:22:23 how should we think about the OpEx growth for next year? Should it be in line with inflation, and will it be above inflation? Anything on that would be very helpful.

And then on my second question is if you can remind us the sensitivity to rate. So already changed at 100 basis points, what is the impact in millions of pesos? And for my last question is, are there any certain expectations for next year based on official guidance that you expect early to accelerate next year [indiscernible] 00:23:06-00:23:12. Thank you.

A

Yes. Thank you very much, Ernesto. Well, regarding operation expenses while we have been speaking about this for a while. Yes. As you said, most of the growth in operating expenses is a sales expenses. So, it's very, very aligned to the growth of the strength in the portfolio. To our main objective is to keep expenses below the growth of total revenues. So, our objective for next year is to focus more on expanding the [ph] jobs 00:23:51 gap, the positive [ph] jobs 00:23:54 gap, and therefore aiming to achieve in ROEs around [ph] 20 00:24:00 – hopefully, a little bit in the [ph] low-20s 00:24:05. But obviously, what we will not stop doing is investing to take the opportunity on the market that every day, we see more clearly.

Now, regarding rates. Well, now, at this point, at 100 basis points, given our variable rate structure, represents a – could represent a positive MXN 420 million improvement in the financial margin line. And obviously, with the guidance, we will tell you what our – [ph] as with integrity 00:24:38, what our expectations for rates during 2024. And then, again, as a – probably, to wrap up what we expect for next year, it's double growth in portfolio, controlled cost of risk, probably in the same levels that we guided at the beginning of this year. Again, this is not a formal guidance. It could be between [ph] 10.5 and 11 00:25:04. Obviously, controlling operational expenses to get these positive [ph] jobs 00:25:09, that I just explained, with the objective to generate a double-digit growth in EPS, in revenue, in net income and with the intention of having an ROE above 20%.

Q

Excellent. Now, just a follow-up on the last one. So the – we should expect accelerated development effective this year. Now, since [indiscernible] 00:25:33 delivering around 10% growth. We can expect a little bit more [indiscernible] 00:25:40 consuming that you mentioned. Now [indiscernible] 00:25:44, probably, we're benefiting on lower rate that was drawn, [indiscernible] 00:25:48 and corporate and operational expenses. Is that really reasonable?

A

Yeah. It's feasible. Yeah, if everything aligns and we see as expected, the growth in the portfolio that I told you, are better than expected rates environment and we control expenses, we could be in the low-20s.

Q

Perfect. Thank you very much.

Operator: Thank you. Our next question comes from Tito Labarta with Goldman Sachs. Please proceed.

Tito Labarta

Q

Hi. Good morning. Thank you for the call and taking my question. Just one question. Your fee income very strong. Just to think about the sustainability of that going forward, both on short term and anything extraordinary that maybe corrects next quarter and thinking longer term, how fast you can continue to grow fee income given the strong performance this quarter? Thank you.

A

Thank you, Tito. Thank you very much. Well, yes, as you said, this year have been an extraordinary in fee income generation, mainly driven by the insurance business and specifically, as part of it, it's composed of some nonrecurrent revenues that have to do with an adjustment in the claims ratio of the insurance business. For next year, what we should expect the next generation in that, should be probably around 20% following the growth of clients and portfolio.

Tito Labarta

Q

Great. Thanks, Mario. Just the claims adjustments. Can you quantify that? Should that revert already next quarter or what was the impact of that?

A

We need to review that because every year, we have to do the adjustment with the insurance company. So probably to do the adjustment with insurance company. So probably we can give more detail once the year finishes and in the next guidance.

Q

Okay. Great. Thank you.

Operator: Our next question comes from Olavo Arthuzo with UBS. Please proceed.

Olavo Arthuzo

Q

Yes. Hi, guys. Hi, everybody. Thank you very much for taking my question. One thing on the EPS growth for the next year and just for us to understand a little bit more on the composition, the breakdown of it. I just want to – I would like to understand about the asset quality trend in Peru because I believe those operations should foster the Yastás for the next year if I'm not wrong. And I just wanted to understand a little bit more of the trend that we could expect going forward because after the 1Q and the second 2Q, the high deterioration in the delinquency rate in these [indiscernible] 00:28:33 leaders. I just wanted to understand considering the only the 10 bps increase this quarter. I just wanted to understand if we can affirm that it has reached the peak on delinquency in Peru or we should see a few in the 4Q some kind of normalization. What could we expect this for the 4Q? And also for the next year, should we see improving a cost of risk and also the NPLs in that subsidiary. Thank you very much.

A

Thank you, Olavo. This is Patricio. Peru's portfolio got affected in the first quarter of this 2023 because of social movements at the beginning of the year as well as the impact of the El Niño weather climate events, right? So a strong – the rains throughout the country range throughout the country affected the operations and mostly on the group lending methodologies. So, we've been dealing with higher delinquencies throughout the year since the first quarter, but we are seeing better trends since July. So, what you should expect is that NPL should come or trend

downwards, but we are expecting again viewing the [ph] summer 00:30:04 of Peru another potential impact of El Niño during the first quarter of this 2024.

So again, yes, the first impact, it's already under control. You should expect this quarter to continue to trend downwards. That shouldn't affect the growth expectations for the Peruvian business for this 2023. And we will be very careful about what would be the impact of all the rains and climate events during the first quarter of 2024. Depending on how strong the affected country will depend on if the NPLs will stabilize or maybe go southwards a little bit.

However, here, regardless of such events, we have a strong coverage to make progress in that regard. So, you shouldn't see an impact in the results for the Peruvian business regardless of the NPLs of these subsidiaries.

Q

All right. Okay, okay. But just to follow up on this, on your Peruvian operations, just for us to understand the potential here, what is the targets ROE that you guys like have for the Peruvian operations?

A

Well, yeah. In Peru, our objective is to be above 20%. And that's not only for Peru, it's for all our subsidiaries.

Q

Okay. Okay, okay. Thank you very much, guys.

A

Thank you, Olavo.

Operator: [Operator Instructions] Our next question comes from Jorge Henderson with Santander. Please proceed.

Jorge Henderson

Q

Hi, hello. Thank you for the opportunity and congrats on the results. And I have a question about your client growth. You mentioned that you're gain market share for group loans [indiscernible] 00:32:27 new competition in Mexico. I wanted to ask, what is the profile of these new clients? [indiscernible] 00:32:31 difference relative to your current client base? And also [indiscernible] 00:32:40 more focused in lending? Thank you.

A

I don't know if I got your question correctly. You were asking about [indiscernible] 00:32:48 client growth in Mexico, right? Sorry.

Q

The profile of the clients, right? Like any [indiscernible] 00:32:55 lending. I mean, you mentioned about the market share gain that you got in the [indiscernible] 00:33:05 But just in general, any comment that you may [indiscernible] 00:33:09. Thanks.

A

Okay. Perfect, Jorge. In terms of client growth, as we said earlier the year, in group lending, we saw a benign environment to growth, given the fact that our competitors are facing operational and funding difficulties.

So we hire people and we tap the opportunity. So what you've seen in group lending methodology is that we are growing very fast because we made adjustments in the product that made it easier and more flexible the product to the end user. And this is why on group lending, you are seeing a strong momentum of this portfolio.

On the individual side, again, this product has been growing about 50% for the last three years. We are, this quarter, representing 58% growth year-over-year. And we see this portfolio to truly continue growing for the 2024. So in both product offerings, both in individual lending and good lending to the Banco Compartamos in the leading provider of working capital loan in both portfolios. So we should expect a strong growth momentum as Mario said for 2024. And this is why we will continue to invest because we see the opportunity of under addressed markets both in Mexico and Peru.

Jorge Henderson

Q

Okay. Just a follow-up, I also wanted to ask about the [indiscernible] 00:35:00 growth in Peru. And you were 7% quarter-over-quarter. I mean, what is the main driver of the [indiscernible] 00:35:07 in Peru?

A

All right. In Peru, we are growing again both portfolios. And against the competitive landscape, some [indiscernible] 00:35:20 and other institutions are also facing difficulties operationally. And we see an opportunity operationally, and we see an opportunity to grow on the individual lending side, as we – as you've seen. But most importantly, what we are doing needs to exploit the opportunity to grow on the group lending side. We've opened 12 new branches in the country. We have now the infrastructure to [indiscernible] 00:35:52 under new markets in the country. So what you should expect, it's to – the growth momentum for Peru will continue in terms of customer growth for the – for 2024.

Q

Okay. That's useful. Thank you very much.

A

Thank you.

Operator: Thank you. And next question comes from Carlos Gomez with HSBC. Please proceed.

Carlos Gomez-Lopez

Q

Hello. Good morning. Thank you for taking my questions. Two questions. The first one, a technical one about the insurance result. So, again, it's an adjustment to the claims that I believe you – I think with your provider. Is that in Banco Compartamos results or that is in the insurance results which is consolidated? I was just curious about that, what it is. And again, if you can give us an idea about – are we talking about MXN 10 million, MXN 100 million, MXN 1 billion? What order of magnitude of achievement are we talking about?

The second one refers to your business in Mexico, Banco Compartamos. It's growing very strongly, 26%. But if we look at the NII, it's grown only 8% year-on-year. For the first nine months, it's 9% year-on-year, whereas your expenses are growing at 18%, right? So you seem to be having negative operational leverage here. Is the NII going to recover once the interest rates come down, or what is the prospect for the – for your core business to improve from here? Thank you so much.

A

Thank you, Carlos. I will jump into the insurance business. Compartamos sells different insurance products to their customers. Also, the same things happens with ConCrédito. The same thing happens in Peru. So we sell insurance products to the consumers. And those think that fees – those fees are registered in the NPL – in the P&Ls of each subsidiary. However, we use the – our own broker, Aterna. Aterna also not also generate fees for every policy that we sell. The risk associated to those products is with MAPFRE. We use in every subsidiary MAPFRE as an insurance company. So they also get a share of that line of business.

And as Mario mentioned, the fee income growth that you saw this quarter, the jump that you are seeing is mostly driven by the insurance product, and we expect for 2024 that this growth momentum will continue. Yes. And regarding your question about the income statement of the bank and the news, well, this is temporary. And specifically this quarter, we have two events that affected the calculation of the margin. Number one, we have a much higher portfolio at the end of the quarter. So that makes the denominator grow. And therefore, it has an impact on the margin. And also, we had increased liquidity because we just received the funds coming from the bond issuance that we set.

And obviously, we have at the operating expenses level, the same dynamic that we explained before for Gentera of all of these growth in loan officers that we hired and the cost of generating clients and placements.

So, we expect that the margins for the bank should be around 50% NIM and around 40% NIM after provision and we should get a recovery on that going forward. And obviously, that is not taking into account a potential improvement because of the reduction of rates.

Q

Okay. Going back to the insurance. Very good. So do you expect 20% growth but is that 20% growth on the total insurance income? And if I analyze your fees this quarters, it will be MXN 2 billion for the full year, let's say. So do you expect [indiscernible] 00:40:32 growth on net fees including the insurance income or do we need to subtract that to calculate your fees for next year?

A

Yeah. I think, circa around 20% net fees number.

Q

All right. And again, those net fees in the first nine months would have been MXN 2.046 billion, right? Okay. Thank you so much.

A

We have a question from Rodrigo Ortega from BBVA. Could you provide us the details of where the expectation of achieving growth of 18% figure account from sort of losses in the State of Guerrero after the hurricane? What kind of losses are you expecting from this event?

A

Thank you. As Enrique said during his remarks, we are still assessing the impact on the Guerrero portfolio. In Guerrero, we have six – in Acapulco, we have six offices, 250 employees and close to 40,000 customers. We have a portfolio of MXN 450 million which we – what we normally do in this kind of circumstances is evaluate the impact that the hurricane had in both customers and employees. And depending of such impact, we provide different alternatives, from humanitarian aid to refinancing additional loans, etcetera, to reignite the local economy.

So again, it's, I guess, still soon to tell specific details. However, I just want to point out that it's just a piece of the portfolio, still a piece of the customers, but we are very carefully looking at what the impact had because the – I mean, it was – it got a very affected of the old economy in Acapulco.

A

We have a follow-on question from Rodrigo. You're guiding double-digit growth for loan growth next year. But could you share a bit more light on the range expected taking into consideration that you continue to hire in all your subsidiaries?

A

Formal guidance will be given in February after the year-end, we just want to give an expectation of that the group momentum that we are seeing in every subsidiary will continue about the growth in GDP, for example, or inflation. But formal guidance will be provided in the next conference call in February.

Operator: At this time, I would like to turn the call back over to management for closing comments.

Unverified Participant

Well, thank you. As always, it's a pleasure to be here with you and [indiscernible] 00:44:03 our quarterly report. And looking forward, our strategy is clear to continue improving customer experience and efficiency for the business across all our subsidiaries. And let me just say that I'm very – and I feel a deep gratitude for the trust and support of our clients in the first place, but also of our staff members and, of course, our shareholders and the rest of our stakeholders. So thank you so much. Have a nice day. And we are closing to the end of the year. So good expectations and looking forward for that.

Operator: Thank you. Ladies and gentlemen, this does conclude today's teleconference. You may disconnect your lines at this time, and thank you for your participation.

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